Hartsmere Supply — Producer Profitability Scope Review Packet

Foxhollow Press financial management | 15 July 2025 | Internal review packet

Purpose. Prior scope, review comments, changed facts, period summaries, data inventory, sample records, and supplied compensation-policy extracts for the revised engagement brief. Identifiers are synthetic and minimized.

1. Prior draft (excerpt)

“We will rank all 32 loan officers by profitability for January producer agreements. Profitability will be funded-loan revenue less officer compensation and direct production expense. We assume lock-desk economics can be allocated to each loan and will use the result to identify officers for action. The Boise branch question can be answered from the same ranking.”

2. Review comments and changed facts

Reviewer	Comment / changed fact
Jarek Ellingsen, principal	Distinguish possible Boise branch closure from compensation restructuring; the decision is not selected.
Ana Hutchins, counsel	Stay within supplied compensation-policy language. Economics is not policy approval; state the narrow unforeseen-settlement-cost exception accurately.
Mina Rao, data owner	Migration created duplicate loan rows and status variants. Some officer IDs are malformed or absent. Lock desk can provide aggregate P&L; an allocation key is not guaranteed.
Jarek / counsel	One disputed actual repurchase is large enough to reverse an officer’s apparent result. Show recurring and all-in views.
Change log	January agreements issue after analysis; model build may proceed only after decision objective and evidence gates are recorded.

3. Designated comparison periods and summaries

Use economically relevant funded/settlement date. Period A: 1 Jan–31 Mar 2025 (Q1); Period B: 1 Apr–30 Jun 2025 (Q2). These are completed-period management summaries, not model output.

Measure	Q1 2025	Q2 2025	Directional change
Funded loans / volume	418 / $112.4m	463 / $128.7m	+10.8% loans; +14.5% volume
Funded-loan revenue / margin	$1.742m	$1.963m	+$0.221m (+12.7%)
Officer compensation	$0.842m	$0.904m	+$0.062m (+7.4%)
Direct production expense	$0.286m	$0.311m	+$0.025m (+8.7%)
Lock-desk hedge result	($0.118m)	($0.076m)	+$0.042m less negative
Routine reserve expense	$0.091m	$0.104m	+$0.013m (+14.3%)
Actual repurchase events	$0.228m total; $0.210m disputed	$0.032m	Q1 includes disputed case
Producing FTE (period-adjusted)	29.5	31.0	+1.5 (+5.1%)

Q2 had higher funded count, volume, revenue, direct cost, routine reserve, and producing FTE; hedge loss was less negative. The summaries do not establish causation. Q2 migration and an April staffing transfer require a bridge before like-for-like officer trends are asserted.

4. Data inventory and accountable owners

Domain / source	Required fields and evidence	Owner / timing
Loan system (LOS)	Stable loan/business key; source row ID; version/update timestamp; application and funded/settlement dates; branch; officer ID; status; funded amount; revenue/margin; refund/reversal/pricing correction; shared-credit fields	Mina Rao, Data Ops — extract as of 30 Jun 2025, with migration history
Compensation / payroll	Officer ID and roster crosswalk; base/commission/bonus; employer taxes/benefits if directly attributable; period and adjustment posting date	Lena Ortiz, Payroll — Q1/Q2 close plus adjustment ledger
Lock desk	Loan-level hedge gain/loss; allocation key/method; lock ID; aggregate control totals; reconciliation to desk P&L;	Tom Baird, Lock Desk — Q1/Q2 final P&L; allocation support due 8 Aug
Reserve / repurchase	Reserve rate/charge; reserve release; claim amount/date; case status; recovery; disputed-case correspondence and final attribution	Priya Sen, Quality — ledger through 30 Jun; counsel confirms dispute
Roster / capacity	Hire/termination/transfer dates; branch; paid hours/FTE; leave; producing status and productive-time evidence; capacity cost (salary/benefits/occupancy where assigned)	Lena Ortiz + Jarek — payroll and roster snapshot
Privacy filter	No borrower name, contact, address, government ID, income, or credit fields; stable loan key only	Mina Rao — enforce before transfer

5. Sample records from the packet

Compact extract showing why normalization and exception logging are required; not a complete population.

Source row	Loan key	Officer / status	Amount / issue
LOS-7712	HM-20418	J-014 / FUNDED	$300,000; migration v1
LOS-8841	HM-20418	J-014 / Closed-Funded	$300,000; retain v2
LOS-9040	HM-21777	J-0I4 / funded	$275,000; malformed ID, no roster match
LOS-9122	HM-21902	J-018 / Funded	$410,000; shared credit 60% / 40% with J-021
LOS-9200	HM-22011	J-022 / Test	$0; exclude
LOS-9204	HM-22012	J-022 / Withdrawn	$0; exclude
LOS-9310	HM-22109	J-019 / Funded then rescinded	$225,000; final not funded
LOS-9440	HM-22281	J-017 / Funded	$350,000; refund posted 02 Jul, bridge to Q2 loan
RP-25-07	HM-21404	J-011 / disputed repurchase	($210,000); rare, can reverse result

Controls expected: normalize statuses to a controlled set; deduplicate by stable loan key and final valid version; retain source-row lineage; route malformed IDs to reconciliation/unassigned; shared-credit allocations sum to no more than 100%; attach post-close adjustments to the loan and economic period.

6. Applicable compensation-policy extracts (supplied text)

Restriction. A loan originator's compensation may not be based on the terms or conditions of a loan, including interest rate, rate spread, loan amount, or a proxy for those terms or conditions. This extract is limited to the stated jurisdiction and policy reach.

Unforeseen settlement-cost exception. A documented, unforeseen settlement cost may be charged only when (i) not reasonably foreseeable when the arrangement was set, (ii) tied to a specific transaction, (iii) supported by contemporaneous records, and (iv) reviewed and approved under the company's documented process. The exception is narrow and does not authorize general true-ups.

The extract does not authorize charging hedge losses, routine reserve expense, actual repurchases, ordinary errors, or overall unprofitability back to an officer. Profitability analysis may inform design work but does not establish that a formula, reduction, or January agreement complies. No conclusion is broader than the supplied policy and jurisdiction.

7. Required review questions

Question	Required answer / gate
Decision objective	Jarek selects branch closure, compensation restructuring, or a documented two-track analysis; each uses different primary evidence.
Hedge evidence	Tom Baird provides supportable loan allocation and tie-out to lock-desk totals, or the loan-level metric is unavailable/provisional.
Repurchase dispute	Priya Sen supplies case file and attribution; Ana Hutchins/counsel confirms treatment before compensation use.
Period bridge	Mina Rao documents migration/status mapping and Lena Ortiz documents April transfer/FTE bridge.

8. Prior-draft revision checklist

Defect in prior draft	Required revision in final brief
Undefined “profitable officer” list	Frame question around selected management decision; no universal ranking.
Contribution treated as full profitability	Present three distinct definitions; contribution excludes corporate overhead and is not enterprise net profit.
Assumed hedge allocation	Condition loan-level net metric on supportable allocation; no invented equal/volume split.
No exceptional-case treatment	Show recurring economics and all-in sensitivity with disputed repurchase separately identified.
No population controls	Use unique funded/closed-and-funded loans; exclude test, training, withdrawn, denied, cancelled and final nonfunded records; bridge reversals.
No policy boundary	State supplied restriction and narrow exception; economic output is not compliance approval.
No status decision	Authorize common-core extract/reconciliation now; hold decision-dependent model build behind named gates.

9. Packet close-out note

The revised brief should be concise for a client principal and counsel to approve before January agreements. It should specify owners, dates, evidence conditions, privacy limits, and whether each metric is authorized, conditional, provisional, or unavailable.